MICROECONOMICS

MICRO-09

Time: 4 minutes | **Outcome:** Apply Applications of Elasticity. | **Difficulty:** ●●○ Intermediate

Applications of Elasticity

THE CORE IDEA

Elasticity helps predict tax incidence, deadweight loss, pricing responses, and other outcomes that depend on how strongly quantity responds. Market power is stronger when buyers have fewer substitutes. Labor demand is a derived factor demand. The less elastic side of the market changes quantity less and bears more of the tax burden. With elastic demand, a price increase can cause a proportionally larger loss of quantity demanded.

HOW TO RECOGNIZE IT

- The less elastic side of the market changes quantity less and bears more of the tax burden.
- With elastic demand, a price increase can cause a proportionally larger loss of quantity demanded.
- More responsive buyers and sellers reduce traded quantity more when a tax wedge is introduced.
- A firm estimates demand elasticity at 2.1.
- Elastic demand produces a larger percentage quantity response to a given percentage price change.

WATCH OUT

A common mistake is to fail to connect output and input demand. When customers readily reduce output purchases, firms more strongly reduce input use after cost increases.

WORKED EXAMPLE: PREDICTING TAX INCIDENCE

Two sides of a market face a $6 tax. Buyers have few substitutes and reduce purchases only slightly, while sellers can redirect output to other markets. Demand is less elastic than supply, so buyers bear more of the tax through a larger increase in the price they pay.

CHECK YOURSELF

If supply is much less elastic than demand, sellers usually bear:?

READY? Return to the game and master this concept.